PROMISE GOLD REFINERY FZE

Environmental, Social & Governance (ESG) Policy 2025

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1. INTRODUCTION

1.1 Purpose of the Policy

The purpose of this Environmental, Social, and Governance (ESG) Policy is to establish a comprehensive framework through which Promise Gold Refinery FZE (the "Company") ensures that all its operations, sourcing activities, and business relationships are conducted in a responsible, ethical, and sustainable manner, in full compliance with applicable laws, regulatory requirements, and internationally recognized standards.

This Policy is designed to:

- Integrate ESG principles into the Company's core business operations, including sourcing, refining, processing, and settlement of precious metals;
- Ensure compliance with United Arab Emirates Anti-Money Laundering, Counter-Terrorist Financing, and Proliferation Financing (AML/CFT/CPF) laws, including Federal Decree-Law No. 10 of 2025 and its Executive Regulations;
- Align with the Ministry of Economy Responsible Sourcing of Gold Regulations (Ministerial Decree No. 68 of 2024) and the associated independent audit requirements;
- Implement the OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas (CAHRA), including the five-step risk-based due diligence framework;
- Promote transparency, traceability, and accountability across the Company's supply chain;
- Prevent and mitigate risks related to money laundering (ML), terrorist financing (TF), proliferation financing (PF), human rights violations, environmental harm, and unethical sourcing practices;
- Establish a zero-tolerance approach toward conflict gold, illegal mining, sanctions violations, corruption, and human rights abuses.

This Policy forms an integral part of the Company's Enterprise-Wide Risk Assessment (EWRA), Customer Risk Assessment (CRA), and Supply Chain Due Diligence Framework, ensuring that ESG considerations are embedded within the Company's broader compliance and risk management architecture.

1.2 Scope and Applicability

This Environmental, Social, and Governance (ESG) Policy applies comprehensively to Promise Gold Refinery FZE (the "Company") and governs all aspects of its operations, business relationships, and supply chain activities. The Policy is applicable across the entire organizational structure, including all operational facilities, refining units, administrative functions, and associated business processes undertaken by the Company within the United Arab Emirates.

The Policy shall be binding on all employees, officers, directors, and authorized representatives of the Company, who are required to adhere to the standards, controls, and procedures set out herein in the course of performing their respective roles and responsibilities. In addition, this Policy extends to all external stakeholders, including but not limited to suppliers, counterparties, contractors, logistics providers, service providers, and business partners engaged in any stage of the sourcing, transportation, handling, processing, refining, assay determination, or settlement of gold and precious metals.

The scope of this Policy further encompasses all forms of gold-bearing materials handled by the Company, including scrap gold, recycled gold, dore gold, fine gold, and any other precious metal material, irrespective of its origin, composition, or form. Accordingly, the Policy applies across the entire value chain, covering all stages from initial supplier onboarding and due diligence, procurement and sourcing activities, logistics and transportation arrangements, refining and processing operations, assay determination, settlement processes, and customer engagement and transaction execution.

All parties and stakeholders falling within the scope of this Policy are required to:
Comply fully with all applicable laws and regulatory requirements of the United Arab Emirates, including but not limited to Anti-Money Laundering, Counter-Terrorist Financing, and Proliferation Financing (AML/CFT/CPF) obligations;

Adhere to the Company's responsible sourcing principles, ESG standards, and internal compliance frameworks, including due diligence, traceability, and risk management requirements; Cooperate fully with the Company in relation to customer and supplier due diligence procedures, ongoing monitoring, audits, inspections, and regulatory reporting obligations, including the provision of accurate and timely information and documentation. Failure by any party to comply with the requirements of this Policy shall be treated as a serious breach and may result in appropriate actions being taken by the Company, including but not limited to:

- Suspension or termination of the business relationship;
- Escalation of the matter to senior management and the Compliance function;
- Reporting to competent authorities, including the UAE Financial Intelligence Unit (FIU), where required under applicable laws and regulations.

1.3 Definitions

For the purposes of this Policy, the following terms shall have the meanings assigned to them below:

1. **"ESG"** means Environmental, Social, and Governance principles relating to sustainable, ethical, and responsible business practices.
2. **"Gold" or "Material"** means any gold-bearing material handled by the Company, including scrap gold, recycled gold, dore gold, fine gold, or any other precious metal material, irrespective of form or purity.
3. **"CAHRA" (Conflict-Affected and High-Risk Areas)** means areas identified as having a high risk of conflict, weak governance, corruption, human rights abuses, or other factors as defined under the OECD Due Diligence Guidance.
4. **"Responsible Sourcing"** means the process of ensuring that gold and precious metals are sourced in a manner that is conflict-free, legally obtained, environmentally responsible, and compliant with applicable laws and international standards.
5. **"Ultimate Beneficial Owner (UBO)"** means the natural person(s) who ultimately owns or controls a legal entity or arrangement, in accordance with applicable UAE regulations.
6. **"Sanctions Lists"** means official lists of individuals, entities, or jurisdictions subject to restrictions or prohibitions issued by competent authorities, including the United Nations, the United Arab Emirates, and other relevant international bodies.
7. **"Suspicious Transaction"** means any transaction or activity that appears unusual, lacks a clear economic or lawful purpose, or raises concerns that it may be linked to money laundering, terrorist financing, proliferation financing, or other illegal activities.
8. **"High-Risk Counterparty"** means any customer, supplier, or related party that presents an elevated risk of financial crime, ESG violations, or regulatory concern based on factors such as geography, ownership structure, transaction behavior, or adverse information.
9. **"Chain of Custody"** means the documented and verifiable process that tracks the movement, handling, and ownership of gold or material throughout the supply chain, ensuring that it remains fully traceable and auditable at all times.
10. **"Enhanced Due Diligence (EDD)"** means additional due diligence measures applied to high-risk customers, suppliers, or transactions, including deeper verification, senior management approval, and enhanced monitoring.

2. REGULATORY & INTERNATIONAL FRAMEWORK

Promise Gold Refinery FZE (the "Company") operates within a robust regulatory, compliance, and governance framework established under the laws of the United Arab Emirates and aligned with internationally recognized standards for responsible sourcing, anti-money laundering, and sustainable business practices.

This Environmental, Social, and Governance (ESG) Policy has been developed to ensure that all activities undertaken by the Company are conducted in full compliance with applicable UAE legislation, including Anti-Money Laundering, Counter-Terrorist Financing, and Proliferation Financing (AML/CFT/CPF) requirements, as well as the Ministry of Economy Responsible Sourcing of Gold Regulations. The Policy further aligns with internationally recognized frameworks, including the OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas (CAHRA), FATF recommendations, and globally accepted responsible sourcing and sustainability standards.

The Company is committed to integrating ESG principles into its core operational, compliance, and risk management frameworks, ensuring that environmental responsibility, social accountability, and sound governance practices are embedded across all business functions, including sourcing, refining, supply chain management, and transaction execution. This includes the implementation of a structured risk-based approach, enabling the identification, assessment, mitigation, and ongoing monitoring of risks related to financial crime, environmental impact, human rights, and ethical sourcing.

Through this Policy, the Company reinforces its commitment to maintaining a transparent, traceable, and accountable supply chain, upholding zero tolerance for financial crime, conflict gold, illegal sourcing, environmental harm, and human rights violations, while ensuring continuous alignment with regulatory expectations and international best practices.

2.1 UAE LEGAL AND REGULATORY FRAMEWORK

Promise Gold Refinery FZE (the "Company") conducts all its operations in strict compliance with the legal and regulatory framework of the United Arab Emirates, which establishes comprehensive requirements for Anti-Money Laundering, Combating the Financing of Terrorism, and Proliferation Financing (AML/CFT/CPF), as well as responsible sourcing and supply chain due diligence within the precious metals sector.

The Company adheres to all applicable laws and regulations, including but not limited to:

- Federal Decree-Law No. 10 of 2025 on Anti-Money Laundering, Combating the Financing of Terrorism, and Proliferation Financing (AML/CFT/CPF);
- Cabinet Decision No. 134 of 2025, concerning the Executive Regulations of the AML/CFT/CPF framework;
- Cabinet Decision No. 74 of 2020, concerning the regulation of Terrorism Lists and the implementation of Targeted Financial Sanctions (TFS);
- Cabinet Decision No. 132 of 2023, relating to administrative penalties for violations of AML/CFT obligations;
- Cabinet Decision No. 58 of 2020, as amended, regarding Beneficial Owner (UBO) identification and verification requirements.

As a Dealer in Precious Metals and Stones (DPMS), the Company is subject to direct supervision by the Ministry of Economy (MoE) and is required to implement and maintain robust compliance systems designed to prevent, detect, and report financial crime risks within its operations and supply chain.

- Implementation of Customer Due Diligence (CDD) and Enhanced Due Diligence (EDD) measures based on a risk-based approach;
- Ongoing sanctions screening, including screening against the UAE Local Terrorist List and relevant international sanctions lists, as well as identification and monitoring of Politically Exposed Persons (PEPs);
- Continuous transaction monitoring to identify unusual or suspicious activity;
- Timely reporting of suspicious transactions and activities to the UAE Financial Intelligence Unit (FIU) through the goAML system, in accordance with regulatory requirements;
- Maintenance of comprehensive record-keeping systems, ensuring that all customer, supplier, and transaction records are retained in accordance with applicable legal requirements.

The Company recognizes that ESG risks and financial crime risks are inherently interconnected within the gold and precious metals sector, particularly in relation to supply chain transparency, source of gold verification, and exposure to high-risk jurisdictions or unethical practices. Accordingly, ESG considerations are fully integrated into the Company's AML/CFT framework, ensuring that risks relating to environmental impact, human rights, and ethical sourcing are assessed and managed alongside traditional financial crime risks.

Through this integrated approach, the Company ensures that its operations are conducted in a manner that is legally compliant, transparent, and aligned with both national regulatory expectations and international best practices, thereby supporting the integrity of the gold supply chain and safeguarding against financial crime and ESG-related risks.

2.2 MINISTRY OF ECONOMY RESPONSIBLE SOURCING REGULATIONS

Promise Gold Refinery FZE (the "Company") operates in full compliance with the **Ministry** of Economy Responsible Sourcing of Gold Regulations (Ministerial Decree No. 68 of 2024), which establish mandatory requirements for gold refineries in the United Arab Emirates to implement a structured, risk-based supply chain due diligence framework aligned with international standards.

These regulations require regulated entities, including refiners, to adopt and implement robust systems and controls to ensure that all gold is sourced, processed, and traded in a manner that is conflict-free, legally compliant, and ethically responsible, while effectively identifying and mitigating risks associated with financial crime and ESG factors.

In accordance with these regulatory requirements, the Company has established and maintains a comprehensive Responsible Sourcing and ESG framework, which includes:

- The implementation of a formal **Responsible Sourcing Policy** aligned with the Ministry of Economy regulations, OECD Due Diligence Guidance, and international best practices;
- The application of a **risk-based due diligence approach** to all suppliers, counterparties, and supply chains, including onboarding, periodic review, and event-driven reassessment;
- The verification of the **source of gold**, ensuring that all material processed by the Company is legally obtained, conflict-free, and not associated with illicit activities or prohibited sources;
- The identification, assessment, and mitigation of risks relating to:
  - Conflict financing and association with Conflict-Affected and High-Risk Areas (CAHRA);
  - Human rights violations, including child labour, forced labour, and exploitation;
  - Environmental harm arising from illegal or irresponsible mining practices;
  - Illicit trade, smuggling, or other forms of unlawful activity within the supply chain;
- The maintenance of a **fully traceable and auditable chain of custody**, supported by appropriate documentation, controls, and verification mechanisms throughout the lifecycle of the material;
- The implementation of **Enhanced Due Diligence (EDD)** measures for higher-risk suppliers, transactions, or geographic exposures, including senior management approval and enhanced monitoring;

In addition, the Company ensures compliance with the regulatory requirement for independent assurance, by engaging an approved third-party auditor to conduct an annual review of its supply chain due diligence framework in accordance with the Ministry of Economy Review Protocol (Annex I). The Company is committed to implementing corrective actions arising from such audits and continuously enhancing its control environment.

The Company further ensures timely submission of all required reports, disclosures, and supporting documentation to the Ministry of Economy, as mandated under the regulations, including annual responsible sourcing reports and audit outcomes.

The Company acknowledges that compliance with the Ministry of Economy Responsible Sourcing Regulations is mandatory and non-negotiable, and forms a central pillar of its overall ESG, compliance, and risk management framework. Any deviation from these requirements is treated as a material compliance breach and may result in immediate remedial action, including suspension or termination of business relationships and reporting to competent authorities where required.

2.3 OECD Due Diligence Guidance (5-Step Framework)

Promise Gold Refinery FZE (the "Company") adopts and implements the OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas (CAHRA) as the foundational framework for its responsible sourcing, Environmental, Social, and Governance (ESG), and supply chain risk management practices.

The Company's due diligence approach is structured in accordance with the OECD Five-Step Framework, which is fully embedded into its operational, compliance, and risk management systems. This framework enables the Company to identify, assess, mitigate, and monitor risks associated with financial crime, ESG factors, and supply chain integrity in a systematic and documented manner.

Step 1 – Establish Strong Management Systems

The Company has established and maintains robust internal management systems to support responsible sourcing and ESG compliance. This includes the implementation of formal ESG and Responsible Sourcing Policies, which define the Company's commitments, standards, and zero-tolerance positions in relation to financial crime, conflict sourcing, human rights violations, and environmental harm. A comprehensive Supplier Code of Conduct has been developed and is communicated to all suppliers and counterparties, setting out clear expectations regarding legal compliance, ethical conduct, responsible sourcing practices, and adherence to ESG principles. The Company has also implemented structured internal controls and governance frameworks, including clearly defined roles and responsibilities, segregation of duties, escalation procedures, and oversight by senior management and the Compliance function. These systems ensure that responsible sourcing requirements are consistently applied across all stages of the supply chain.

Step 2 – Identify and Assess Risks in the Supply Chain

The Company conducts a systematic and risk-based assessment of all suppliers, counterparties, and transactions to identify potential risks within its supply chain. This includes the evaluation of:

- Supplier risk, including ownership structure, Ultimate Beneficial Owner (UBO) transparency, and business profile;
- Geographic risk, including exposure to Conflict-Affected and High-Risk Areas (CAHRA), sanctioned jurisdictions, or regions with weak regulatory frameworks;
- Product risk, particularly in relation to recycled gold and other materials with potential traceability limitations;
- ESG risks, including risks related to human rights abuses, environmental harm, illegal mining, and unethical sourcing practices.

This risk identification process is integrated into the Company's Customer Risk Assessment (CRA) and Enterprise-Wide Risk Assessment (EWRA) frameworks, ensuring that all relevant risk factors are captured, documented, and evaluated on an ongoing basis.

Step 3 – Design and Implement Risk Mitigation Measures

Where risks are identified, the Company applies proportionate and risk-based mitigation measures designed to manage and reduce exposure to unacceptable risks. For higher-risk suppliers, transactions, or geographic exposures, the Company applies Enhanced Due Diligence (EDD) measures, which include additional verification of identity, ownership, source of gold, and supporting documentation, as well as heightened scrutiny and senior management approval. The Company actively engages with suppliers to address identified risks, including requesting additional information, implementing corrective actions, and requiring adherence to the Company's ESG and responsible sourcing standards.

Where risks cannot be adequately mitigated, or where there is evidence of serious violations such as involvement in conflict financing, human rights abuses, environmental harm, or illicit trade, the Company adopts a zero-tolerance approach, which may include:

- Suspension of transactions.
- Rejection of material.
- Termination of the business relationship.
- Reporting to competent authorities where required.

Step 4 – Independent Third-Party Audit
In compliance with regulatory requirements and international best practices, the Company subjects its supply chain due diligence framework to an annual independent third-party audit conducted by an approved and qualified auditor. Such audits are performed in accordance with the Ministry of Economy Review Protocol (Annex I) and are designed to assess the effectiveness, adequacy, and implementation of the Company's responsible sourcing and ESG controls. The Company is committed to addressing any findings, observations, or recommendations arising from such audits through timely and effective corrective action plans, thereby ensuring continuous improvement of its due diligence framework.

Step 5 – Public Reporting

The Company maintains a commitment to transparency and accountability by preparing and submitting annual Responsible Sourcing and ESG reports, as required under applicable regulations. These reports provide a comprehensive overview of the Company's due diligence processes, risk assessments, mitigation measures, audit outcomes, and overall ESG performance, and are submitted to the Ministry of Economy and other relevant stakeholders, where applicable.

Integration into Operational and Compliance Frameworks
The Company ensures that the OECD due diligence framework is fully integrated into its day-to-day operations and compliance processes. This includes its incorporation into:

- Supplier onboarding and verification procedures;
- Customer and supplier due diligence processes (CDD and EDD);
- Transaction monitoring systems;
- Risk assessment frameworks, including EWRA and CRA;
- Chain-of-custody controls and documentation requirements.

Through this integrated approach, the Company ensures that responsible sourcing and ESG principles are not treated as standalone requirements but are embedded within the broader compliance and risk management architecture, thereby enabling effective identification, management, and mitigation of risks across the entire gold supply chain.

2.4 FATF RECOMMENDATIONS

Promise Gold Refinery FZE (the "Company") aligns its Anti-Money Laundering, Counter-Terrorist Financing, and Proliferation Financing (AML/CFT/CPF) framework, as well as its Environmental, Social, and Governance (ESG) practices, with the Recommendations of the Financial Action Task Force (FATF), which represent the globally recognized standard for combating financial crime.
As a participant in the precious metals sector, which is classified under Designated Non-Financial Businesses and Professions (DNFBPs), the Company recognizes that it is exposed to elevated risks associated with money laundering, terrorist financing, proliferation financing, and trade-based money laundering (TBML). Accordingly, the Company has adopted a comprehensive and risk-based compliance framework consistent with FATF principles and UAE regulatory requirements.

In line with FATF guidance, the Company implements the following key measures:
The Company adopts a Risk-Based Approach (RBA) to identify, assess, and manage risks associated with customers, suppliers, transactions, products, and geographic exposure. This approach is embedded within the Company's Enterprise-Wide Risk Assessment (EWRA) and Customer Risk Assessment (CRA) frameworks, ensuring that higher-risk scenarios are subject to enhanced scrutiny and controls.
The Company implements robust Customer Due Diligence (CDD) and Enhanced Due Diligence (EDD) procedures, including the identification and verification of customers and suppliers, determination of Ultimate Beneficial Ownership (UBO), and assessment of the source of funds and source of gold, in accordance with applicable regulatory requirements.

The Company conducts ongoing monitoring of transactions and business relationships to identify unusual patterns, inconsistencies, or activities that may indicate potential financial crime risks. This includes the application of transaction monitoring controls designed to detect structuring, abnormal transaction volumes, or deviations from expected business behavior.

The Company performs continuous screening of all counterparties against applicable sanctions lists, including the United Nations sanctions lists and the UAE Local Terrorist List, as well as screening against Politically Exposed Person (PEP) databases and adverse media sources to identify potential reputational or regulatory risks.

The Company has established procedures for the identification, escalation, and reporting of suspicious transactions and activities. Where reasonable grounds for suspicion exist, the Company submits reports to the UAE Financial Intelligence Unit (FIU) through the goAML system, in accordance with applicable legal and regulatory obligations, and without tipping off the relevant parties.
The Company maintains comprehensive record-keeping systems, ensuring that all customer, supplier, transaction, and due diligence records are retained for the required regulatory period and are readily available for inspection by competent authorities.

The Company further recognizes that the gold and precious metals sector is inherently vulnerable to financial crime risks, including trade-based money laundering (TBML), given the high value, portability, and liquidity of gold. In this context, the Company ensures that AML/CFT controls and ESG considerations are applied in an integrated and consistent manner, particularly in relation to supply chain transparency, source of gold verification, and transaction monitoring.

Through this alignment with FATF Recommendations, the Company ensures that its operations are conducted in a manner that is risk-aware, compliant, and consistent with international best practices, thereby safeguarding the integrity of its business activities and contributing to the broader efforts to combat financial crime.

2.5 Alignment with International Standards (LBMA, UNGP, ILO)

The Company's ESG framework is aligned with internationally recognized standards and principles, including:

London Bullion Market Association (LBMA) Responsible Gold Guidance

- Adoption of best practices for responsible sourcing and supply chain due diligence;
- Alignment with Good Delivery standards for refining and bullion quality;
- Implementation of risk management procedures consistent with global refining standards.

United Nations Guiding Principles on Business and Human Rights (UNGP)

- Commitment to respect human rights across all operations and supply chains;
- Implementation of due diligence processes to identify, prevent, and mitigate human rights risks;
- Establishment of grievance mechanisms and remediation processes.

International Labour Organization (ILO) Conventions

- Prohibition of child labour and forced labour;
- Promotion of safe and healthy working conditions;
- Respect for workers' rights and fair labour practices.

The Company ensures that these international standards are not applied in isolation, but are fully embedded within its ESG, compliance, and operational frameworks, thereby supporting sustainable, ethical, and transparent business practices.

3. ESG GOVERNANCE FRAMEWORK

Promise Gold Refinery FZE (the "Company") has established a robust ESG governance framework to ensure that environmental, social, and governance principles are effectively integrated into its overall business strategy, operational processes, and compliance systems. This framework is designed to provide clear oversight, accountability, and control mechanisms to identify, assess, and manage risks related to financial crime, responsible sourcing, human rights, and environmental impact.

The ESG governance framework operates in alignment with the Company's AML/CFT compliance program, Enterprise-Wide Risk Assessment (EWRA), Customer Risk Assessment (CRA), and Responsible Sourcing framework**,** ensuring a unified and risk-based approach to managing ESG and financial crime risks across the organization.

3.1 Board and Senior Management Oversight

The Board of Directors and Senior Management of Promise Gold Refinery FZE (the "Company") bear ultimate responsibility for ensuring that Environmental, Social, and Governance (ESG) principles are effectively implemented and maintained across all levels of the organization. The Board provides strategic direction and oversight, ensuring that the Company operates in compliance with applicable UAE laws, Ministry of Economy regulations, and internationally recognized standards, including the OECD Due Diligence Guidance and FATF Recommendations. The Board is responsible for approving the Company's ESG Policy, Responsible Sourcing Policy, and related compliance frameworks, and for setting the Company's overall risk appetite in relation to ESG, AML/CFT, and supply chain risks. It ensures that sufficient resources, including personnel, systems, and technological capabilities, are allocated to support the effective implementation of these frameworks. Senior Management is responsible for the operational execution of the Board's directives, ensuring that ESG principles are embedded into daily business activities, including sourcing, refining, and transaction processes. This includes overseeing the effectiveness of due diligence procedures, transaction monitoring systems, and risk mitigation measures, as well as ensuring that all ESG-related risks are appropriately identified, escalated, and managed. Senior Management also reviews periodic reports on ESG performance, audit findings, and compliance issues, and ensures that corrective actions are implemented in a timely and effective manner.

3.2 ESG Governance Structure

The Company has established a structured ESG governance framework designed to ensure clear accountability, effective coordination, and consistent implementation of ESG and compliance requirements across all business functions. At the core of this structure is the Compliance Function, led by the Compliance Officer or Money Laundering Reporting Officer (MLRO), who is responsible for the design, implementation, and oversight of ESG, AML/CFT, and responsible sourcing controls. The Compliance Function ensures that policies, procedures, and risk management frameworks are aligned with regulatory requirements and international standards. Operational teams, including procurement, logistics, refining, and finance functions, are responsible for implementing ESG controls in their respective areas, including supplier onboarding, verification of documentation, maintenance of chain-of-custody controls, and execution of transactions in accordance with compliance requirements. The governance structure facilitates coordination between Compliance, Operations, and Senior Management, ensuring that ESG risks are systematically identified, assessed, and managed across the entire value chain. This integrated approach ensures that ESG considerations are embedded within the Company's broader compliance and risk management architecture, rather than treated as standalone requirements.

3.3 Three Lines of Defence

The Company adopts the Three Lines of Defence model to ensure effective risk management, segregation of duties, and independent oversight of ESG and compliance risks.

- The First Line of Defence comprises the business and operational units, including procurement, refining, logistics, and customer-facing functions. These teams are responsible for the day-to-day implementation of ESG and responsible sourcing controls. This includes conducting initial due diligence on suppliers and counterparties, ensuring compliance with documentation and chain-of-custody requirements, and identifying and escalating any unusual or high-risk activities.
- The Second Line of Defence is the Compliance Function, which provides independent oversight, monitoring, and guidance. The Compliance team is responsible for developing and maintaining ESG and AML/CFT policies, conducting independent reviews of due diligence processes, monitoring transactions for potential risks, and providing training and advisory support to operational teams. The Compliance Function also ensures that high-risk matters are escalated to Senior Management and, where required, to competent authorities.
- The Third Line of Defence consists of independent assurance mechanisms, including internal audit (where applicable) and mandatory annual independent third-party audits conducted in accordance with the Ministry of Economy Review Protocol (Annex I). These audits provide an objective assessment of the effectiveness of the Company's ESG and responsible sourcing framework, ensuring that controls are functioning as intended and identifying areas for improvement.

3.4 Roles and Responsibilities

The Company has clearly defined roles and responsibilities across all levels of the organization to ensure effective implementation of ESG, AML/CFT, and responsible sourcing requirements.

- The Board of Directors is responsible for providing strategic oversight, approving policies, and ensuring that the Company's operations are aligned with regulatory requirements and international standards.
- Senior Management is responsible for implementing approved policies, allocating resources, overseeing operational compliance, and ensuring that ESG principles are embedded into all business processes.
- The Compliance Officer or MLRO is responsible for the design, implementation, and ongoing monitoring of ESG, AML/CFT, and responsible sourcing frameworks. This includes overseeing due diligence processes, transaction monitoring, sanctions screening, and reporting obligations to competent authorities, including the UAE Financial Intelligence Unit (FIU).
- Operational teams are responsible for executing day-to-day activities in accordance with ESG and compliance requirements, including supplier onboarding, verification of documentation, maintenance of chain-of-custody controls, and processing of transactions.
- All employees are required to comply with this Policy, participate in training programs, and promptly report any concerns, violations, or suspicious activities to the Compliance Function.
- Suppliers, contractors, and counterparties are required to adhere to the Company's ESG and responsible sourcing standards, provide accurate and complete information, and cooperate with due diligence, monitoring, and audit processes.
- Failure by any individual or entity to comply with these roles and responsibilities may result in disciplinary action, suspension or termination of business relationships, and, where applicable, reporting to competent regulatory authorities.

4. RISK-BASED APPROACH (RBA)

Promise Gold Refinery FZE (the "Company") adopts a comprehensive Risk-Based Approach (RBA) to identify, assess, mitigate, and monitor risks associated with Environmental, Social, and Governance (ESG) factors, as well as financial crime risks including money laundering (ML), terrorist financing (TF), and proliferation financing (PF). This approach ensures that resources, controls, and due diligence measures are applied proportionately, based on the level of risk identified, and is fully integrated into the Company's Enterprise-Wide Risk Assessment (EWRA), Customer Risk Assessment (CRA), and Supply Chain Due Diligence Framework**.**

4.1 ESG Risk Identification

The Company systematically identifies ESG and financial crime risks across all stages of its operations and supply chain. Risk identification is conducted during onboarding, transaction processing, and ongoing monitoring, and considers multiple risk dimensions, including:

- Customer and Supplier Risk: Nature of business, ownership structure, Ultimate Beneficial Ownership (UBO) transparency, and regulatory status;
- Geographic Risk: Exposure to high-risk jurisdictions, sanctioned countries, or Conflict-Affected and High-Risk Areas (CAHRA);
- Product Risk: Nature of gold material (e.g., recycled gold, scrap gold), including potential traceability limitations and commingling risks;
- Transaction Risk: Volume, frequency, payment methods (including cash exposure), and economic rationale of transactions;
- ESG Risk Factors: Exposure to human rights violations, environmental harm, illegal mining, and unethical sourcing practices;
- Supply Chain Risk: Number of intermediaries, transparency of sourcing, and strength of chain-of-custody controls.

The Company recognizes that the gold and precious metals sector is inherently vulnerable to financial crime and ESG risks due to the high value, portability, and liquidity of gold, and therefore ensures that risk identification is comprehensive and continuously updated.

4.2 Risk Assessment Methodology

The Company applies a structured and documented methodology to assess identified risks, using both qualitative and quantitative factors. Each risk is evaluated based on:

- Likelihood of occurrence;
- Impact on regulatory compliance, financial integrity, and reputational risk;
- Control effectiveness of existing mitigation measures.

Risk scoring is assigned using a standardized scale (Low, Medium, High, Prohibited), supported by defined criteria and risk indicators. The assessment process incorporates:

- Data collected through Customer Due Diligence (CDD) and Enhanced Due Diligence (EDD);
- Information obtained from sanctions screening, PEP checks, and adverse media reviews;
- Transaction monitoring outputs and behavioral analysis;
- Supply chain documentation and chain-of-custody verification.

All risk assessments are documented and maintained as part of the Company's compliance records and are subject to periodic review and validation by the Compliance Function.

4.3 Integration with EWRA and CRA

The Company ensures that ESG and financial crime risks are fully integrated into its broader risk management frameworks, including:

- Enterprise-Wide Risk Assessment (EWRA): ESG risks, supply chain vulnerabilities, geographic exposure, and transaction risks are assessed at an organizational level to determine overall inherent and residual risk profiles;
- Customer Risk Assessment (CRA): Individual customers, suppliers, and counterparties are risk-rated based on their profile, ownership structure, geographic exposure, and transaction behavior.

This integration ensures consistency in risk assessment across all levels of the organization and enables the Company to apply appropriate controls and mitigation measures in line with its overall risk appetite.

4.4 Risk Classification (Low / Medium / High / Prohibited)

Based on the risk assessment, customers, suppliers, transactions, and supply chains are classified into the following categories:

- **Low Risk:** Counterparties and transactions with minimal exposure to ESG or financial crime risks, supported by strong documentation, transparent ownership structures, and consistent transaction patterns. Standard due diligence measures are applied.
- **Medium Risk:** Counterparties or transactions presenting moderate risk, including minor gaps in documentation or limited traceability. Enhanced monitoring and periodic review are applied.
- **High Risk:** Counterparties or transactions involving elevated risk factors, such as exposure to high-risk jurisdictions, complex ownership structures, significant cash usage, or potential ESG concerns. Enhanced Due Diligence (EDD), senior management approval, and ongoing monitoring are required.
- **Prohibited Risk:** Counterparties, transactions, or sources associated with unacceptable risks, including sanctioned entities, confirmed involvement in financial crime, conflict gold, illegal mining, or serious human rights violations. Such relationships are strictly prohibited and must be rejected or terminated.

4.5 Residual Risk Assessment

Following the application of risk mitigation measures, the Company assesses the residual risk, which represents the level of risk remaining after controls have been implemented

Residual risk assessment considers:

- Effectiveness of due diligence measures (CDD/EDD).
- Strength of chain-of-custody and traceability controls.
- Ongoing monitoring and transaction controls.
- Compliance with ESG and responsible sourcing standards.

Where residual risk remains within acceptable levels, the relationship or transaction may proceed with appropriate monitoring. However, where residual risk is assessed as unacceptable or cannot be effectively mitigated, the Company adopts a zero-tolerance approach, which may include:

- Refusal to onboard the counterparty.
- Suspension or rejection of transactions.
- Termination of existing relationships.
- Escalation to Senior Management and reporting to competent authorities, where required.

Residual risk assessments are subject to continuous monitoring and periodic review to ensure that any changes in risk profile are promptly identified and addressed.

5. ENVIRONMENTAL RESPONSIBILITY

Promise Gold Refinery FZE (the "Company") is committed to conducting its operations in an environmentally responsible manner, ensuring that all activities related to the sourcing, handling, processing, and refining of gold are carried out in compliance with applicable environmental laws and international standards. The Company recognizes that environmental risks are closely linked to supply chain integrity and ESG performance, particularly in the gold sector, where improper practices can result in significant environmental harm. The Company adopts a precautionary and risk-based approach to environmental management, integrating environmental considerations into its operational processes, supply chain due diligence, and overall compliance framework.

5.1 Environmental Commitment

The Company is committed to minimizing its environmental impact and ensuring that its operations do not contribute to environmental degradation, illegal mining, or unsafe handling of materials.
This commitment includes:

- Adhering to all applicable UAE environmental laws and regulations;
- Promoting environmentally responsible sourcing practices across its supply chain;
- Ensuring that gold processed by the Company is not associated with environmentally harmful or illegal mining activities;
- Implementing internal controls and procedures to prevent pollution, contamination, and environmental incidents;
- Continuously improving environmental performance through monitoring, review, and corrective actions.

The Company adopts a zero-tolerance approach toward sourcing gold linked to significant environmental harm, including illegal mining, deforestation, or environmentally destructive practices.

5.2 Environmental Risk Factors

The Company identifies and assesses environmental risks associated with both its internal operations and external supply chain. Key environmental risk factors considered include:

- Upstream environmental risk, particularly where gold originates from sources that may involve illegal or environmentally harmful mining practices;
- Air emissions generated during refining processes;
- Water usage and discharge, including the risk of contamination;
- Use of chemicals, including acids and other substances used in refining processes;
- Generation of hazardous and non-hazardous waste;
- Energy consumption and associated environmental impact;
- Supply chain risks, including lack of environmental controls among suppliers.

These risks are assessed as part of the Company's Risk-Based Approach (RBA) and are incorporated into supplier due diligence, transaction monitoring, and ESG risk assessments.

5.3 Environmental Management Controls

The Company has implemented a range of environmental management controls designed to mitigate identified risks and ensure compliance with applicable standards.
These controls include:

- Establishment of documented environmental management procedures governing refining operations;
- Implementation of controls to manage emissions, waste, and discharges;
- Regular inspection and maintenance of equipment to prevent environmental incidents;
- Integration of environmental considerations into supplier due diligence and onboarding processes;
- Requirement for suppliers to adhere to responsible sourcing standards and environmental best practices;
- Training of employees on environmental awareness, safety, and compliance requirements.

The Company continuously evaluates the effectiveness of these controls and implements improvements where necessary to strengthen its environmental performance.

5.4 Hazardous Materials and Waste Management

The Company ensures that all hazardous materials and waste generated through its operations are managed in a safe, controlled, and environmentally responsible manner.
This includes:

- Proper storage, handling, and use of hazardous chemicals in accordance with safety and regulatory requirements;
- Implementation of procedures for the segregation, treatment, and disposal of hazardous and non-hazardous waste;
- Compliance with all applicable UAE regulations relating to waste management and environmental protection;
- Maintenance of appropriate documentation and records relating to waste handling and disposal;
- Immediate response procedures for spills, leaks, or environmental incidents.

The Company ensures that hazardous materials are handled only by trained personnel and that appropriate safeguards are in place to prevent environmental contamination.

5.5 Energy and Resource Efficiency

The Company is committed to promoting the efficient use of energy and natural resources across its operations.
This includes:

- Monitoring and managing energy consumption within refining operations;
- Implementing measures to improve operational efficiency and reduce resource wastage;
- Optimizing processes to minimize the environmental footprint of refining activities;
- Encouraging responsible use of water and other natural resources;
- Evaluating opportunities for continuous improvement in energy efficiency and environmental performance.

While maintaining operational effectiveness, the Company seeks to balance productivity with environmental sustainability.

5.6 Environmental Compliance and Monitoring

The Company maintains ongoing monitoring and oversight of its environmental performance to ensure compliance with regulatory requirements and internal standards.
This includes:

- Regular monitoring of environmental parameters, including emissions, waste, and resource usage;
- Periodic internal reviews and assessments of environmental controls;
- Integration of environmental considerations into independent third-party audits conducted under the Ministry of Economy Responsible Sourcing framework;
- Maintenance of records and documentation to demonstrate compliance with environmental requirements;
- Prompt identification, escalation, and remediation of any environmental incidents or non-compliance.

Environmental performance is subject to continuous review, and the Company is committed to implementing corrective actions and improvements to ensure alignment with regulatory expectations and international best practices.

6. SOCIAL RESPONSIBILITY

Promise Gold Refinery FZE (the "Company") is committed to upholding the highest standards of social responsibility across its operations and supply chain. The Company recognizes that the gold and precious metals sector is exposed to significant social risks, including human rights violations, labour exploitation, and conflict-related abuses. Accordingly, the Company integrates social responsibility principles into its ESG, AML/CFT, and responsible sourcing frameworks, ensuring that such risks are identified, assessed, and mitigated through a structured and risk-based approach.

6.1 Human Rights Commitment

The Company is committed to respecting and promoting internationally recognized human rights standards, including those set out in the UN Guiding Principles on Business and Human Rights (UNGPs) and the OECD Due Diligence Guidance.

This commitment extends across all aspects of the Company's operations and supply chain and includes:

- Respect for the dignity, rights, and welfare of all individuals involved in the supply chain;
- Ensuring that business activities do not contribute to or benefit from human rights abuses;
- Integrating human rights considerations into supplier due diligence, risk assessment, and monitoring processes;
- Taking appropriate action where human rights risks or violations are identified.

The Company expects all suppliers, counterparties, and business partners to adhere to the same standards and to demonstrate compliance with applicable human rights requirements.

6.2 Zero Tolerance Policy (Child Labour, Forced Labour, etc.)

The Company adopts a strict zero-tolerance approach toward all forms of human rights violations within its operations and supply chain.

This includes, but is not limited to:

- Child labour, as defined under applicable international conventions;
- Forced or compulsory labour, including debt bondage and involuntary work;
- Human trafficking and exploitation;
- Any form of coercion, abuse, or unsafe working conditions.

The Company strictly prohibits engagement with any supplier, counterparty, or transaction that is linked to such practices. Where credible evidence or reasonable suspicion of such violations is identified, the Company will take immediate action, which may include:

- Suspension or rejection of material or transactions;
- Termination of the business relationship;
- Escalation to Senior Management and the Compliance Function;
- Reporting to competent authorities where required.

6.3 Conflict-Affected and High-Risk Areas (CAHRA)

The Company recognizes the heightened risks associated with sourcing gold from Conflict-Affected and High-Risk Areas (CAHRA), including risks related to conflict financing, human rights abuses, corruption, and weak governance. Although the Company operates within the UAE and does not directly source from CAHRAs, it acknowledges the potential for indirect exposure, particularly in the context of recycled gold supply chains.

Accordingly, the Company:

- Identifies and assesses any potential CAHRA exposure as part of its risk-based due diligence process;
- Applies Enhanced Due Diligence (EDD) measures to suppliers and transactions with potential CAHRA links;
- Requires additional documentation, verification, and senior management approval for higher-risk cases;
- Rejects or terminates relationships where risks cannot be adequately mitigated or where there is evidence of conflict-related activities.

This approach ensures alignment with the OECD Due Diligence Guidance and Ministry of Economy requirements.

6.4 Stakeholder Engagement and Protection

The Company is committed to maintaining transparent, ethical, and responsible relationships with all stakeholders, including employees, suppliers, customers, regulators, and local communities.

This includes:

- Ensuring fair and respectful treatment of all stakeholders;
- Promoting open communication and cooperation with suppliers and counterparties;
- Requiring stakeholders to comply with the Company's ESG and responsible sourcing standards;
- Protecting stakeholders from retaliation or adverse consequences when raising concerns or reporting issues.

The Company encourages all stakeholders to actively participate in maintaining a responsible and ethical supply chain by reporting any concerns related to ESG, compliance, or unethical practices.

6.5 Health, Safety, and Labour Standards

The Company is committed to providing a safe and healthy working environment for all employees and ensuring compliance with applicable UAE labour laws and occupational health and safety requirements.

This includes:

- Implementation of workplace health and safety procedures and controls;
- Provision of appropriate training, equipment, and protective measures to employees;
- Identification and mitigation of workplace hazards;
- Compliance with applicable labour standards, including working hours, wages, and employee welfare;
- Promotion of a culture of safety, accountability, and continuous improvement.

The Company expects its suppliers and contractors to adhere to similar health, safety, and labour standards within their operations.

6.6 Grievance Mechanism and Whistleblowing

The Company has established a formal grievance mechanism and whistleblowing framework to enable employees, suppliers, and other stakeholders to report concerns related to ESG issues, human rights violations, or compliance breaches.

This framework ensures:

- Confidential and secure reporting channels;
- Protection of whistleblowers against retaliation or discrimination;
- Prompt and impartial investigation of reported concerns;
- Appropriate corrective and remedial actions where issues are identified.

All grievances and reports are handled by the Compliance Function and escalated to Senior Management where necessary. Where required, matters may be reported to competent authorities in accordance with applicable laws and regulations.

7. GOVERNANCE & ETHICS

Promise Gold Refinery FZE (the "Company") is committed to maintaining the highest standards of governance, integrity, and ethical conduct across all its operations. The Company recognizes that strong governance and ethical practices are fundamental to preventing financial crime, ensuring regulatory compliance, and maintaining the integrity of the gold supply chain. The Company integrates Governance and Ethics principles into its AML/CFT framework, ESG policy, and Responsible Sourcing program, ensuring that all activities are conducted in a transparent, lawful, and accountable manner.

7.1 AML/CFT and Financial Crime Compliance

The Company has established and maintains a comprehensive framework to prevent, detect, and report financial crime risks, including money laundering (ML), terrorist financing (TF), and proliferation financing (PF).

This framework is aligned with applicable UAE laws and FATF standards and includes:

- Implementation of a Risk-Based Approach (RBA) to identify and manage financial crime risks;
- Integration of AML/CFT controls within the Company's Enterprise-Wide Risk Assessment (EWRA) and Customer Risk Assessment (CRA) frameworks;
- Continuous monitoring of transactions and business relationships to identify unusual or suspicious activities;
- Immediate escalation and reporting of suspicious activities to the UAE Financial Intelligence Unit (FIU) through the goAML system, in accordance with regulatory requirements;
- Maintenance of internal policies, procedures, and controls designed to ensure ongoing compliance with AML/CFT obligations.

The Company adopts a zero-tolerance approach toward financial crime and ensures that any identified risks are addressed promptly and effectively.

7.2 Customer Due Diligence (CDD / EDD)

The Company implements robust Customer Due Diligence (CDD) and Enhanced Due Diligence (EDD) procedures for all customers, suppliers, and counterparties.

CDD measures include:

- Identification and verification of customers and counterparties;
- Verification of Ultimate Beneficial Ownership (UBO);
- Assessment of the nature and purpose of the business relationship;
- Collection and verification of supporting documentation.

For higher-risk relationships, the Company applies Enhanced Due Diligence (EDD) measures, which include:

- Additional verification of identity, ownership, and source of funds and source of gold;
- Detailed assessment of geographic exposure, including CAHRA risks;
- Senior management approval prior to onboarding or continuation of the relationship;
- Increased monitoring and periodic review.

CDD and EDD processes are conducted on a risk-based and ongoing basis, ensuring that customer risk profiles are continuously updated.

7.3 Sanctions and PEP Screening

The Company conducts comprehensive screening of all customers, suppliers, and counterparties against applicable sanctions lists and Politically Exposed Person (PEP) databases.

This includes:

- Screening against the United Nations sanctions lists, the UAE Local Terrorist List, and other relevant international sanctions lists;
- Identification of PEPs, including domestic and foreign PEPs, and assessment of associated risks;
- Ongoing monitoring to identify any changes in sanctions or PEP status;
- Immediate escalation of potential matches to the Compliance Function for review and determination.

Where a confirmed sanction match or unacceptable risk is identified, the Company shall:

- Immediately suspend or terminate the relationship;
- Freeze any relevant transactions or assets, where required;
- Report to competent authorities in accordance with applicable laws.

7.4 Anti-Bribery and Corruption

The Company adopts a strict zero-tolerance policy toward bribery, corruption, and unethical conduct in any form. This includes:

- Prohibition of offering, giving, soliciting, or accepting any form of bribe or improper advantage;
- Implementation of controls relating to gifts, hospitality, and conflicts of interest;
- Conducting due diligence on third parties to assess corruption risks;
- Ensuring that all transactions are conducted transparently and in accordance with applicable laws.

Employees and stakeholders are required to act with integrity and to report any suspected bribery or corruption through the Company's reporting mechanisms.

7.5 Transparency and Ethical Conduct

The Company is committed to maintaining transparency, accountability, and ethical conduct across all aspects of its operations and supply chain.
This includes:

- Ensuring that all transactions are supported by complete, accurate, and verifiable documentation;
- Maintaining a fully traceable and auditable chain of custody for all gold and precious metals;
- Ensuring that all business dealings are conducted in a lawful and ethical manner;
- Providing accurate and timely information to regulators, auditors, and stakeholders;
- Promoting a culture of integrity, compliance, and ethical responsibility within the organization.

The Company requires all employees, suppliers, and counterparties to adhere to these principles and to act in a manner that supports the integrity of the Company's operations and the broader gold supply chain.

8. RESPONSIBLE SOURCING FRAMEWORK

Promise Gold Refinery FZE (the "Company") has established and maintains a comprehensive Responsible Sourcing Framework to ensure that all gold and precious metals processed by the Company are sourced in a legal, ethical, conflict-free, and environmentally responsible manner**.** The framework is designed to identify, assess, and mitigate risks associated with financial crime, human rights violations, environmental harm, and unethical sourcing practices across the supply chain. It is fully aligned with the Ministry of Economy Responsible Sourcing of Gold Regulations (Ministerial Decree No. 68 of 2024) and the OECD Due Diligence Guidance**,** and is integrated into the Company's ESG, AML/CFT, and Risk-Based Approach (RBA) frameworks.

8.1 Overview of Responsible Sourcing Principles

The Company adheres to the following core responsible sourcing principles:

- Gold must be sourced from legitimate, legal, and verified sources;
- Gold must not be associated with conflict financing, armed groups, or illegal activities;
- Suppliers must comply with human rights standards, including prohibition of child labour, forced labour, and exploitation;
- Gold must not originate from environmentally harmful or illegal mining practices;
- The supply chain must be transparent, traceable, and auditable at all times;
- All sourcing activities must comply with applicable UAE laws, international standards, and the Company's ESG and compliance requirements.

The Company adopts a zero-tolerance approach toward conflict gold, sanctioned entities, human rights abuses, environmental violations, and any form of illicit sourcing.

8.2 OECD 5-Step Due Diligence Framework

The Company implements the OECD Five-Step Due Diligence Framework as the core methodology for managing supply chain risks. This framework is embedded into the Company's operational, compliance, and risk management processes.

8.2.1 Step 1 – Establish Strong Management Systems

The Company has established robust internal systems to support responsible sourcing and ESG compliance. This includes:

Adoption of a formal Responsible Sourcing Policy and ESG Policy approved by the Board;

- Implementation of a Supplier Code of Conduct, outlining expectations for legal compliance, ethical behavior, and ESG standards;
- Establishment of clear governance structures, including roles and responsibilities for compliance, operations, and senior management;
- Implementation of internal controls, procedures, and documentation requirements to ensure consistency and accountability;

Maintenance of records and documentation supporting supply chain due diligence and traceability.

These systems ensure that responsible sourcing requirements are systematically applied across all stages of the supply chain.

8.2.2 Step 2 – Risk Identification

The Company conducts a comprehensive and risk-based assessment of its supply chain to identify potential risks associated with sourcing and transactions.

This includes:

- Assessment of supplier risk, including ownership structure, UBO transparency, and business profile;
- Evaluation of geographic risk, including exposure to Conflict-Affected and High-Risk Areas (CAHRA) or sanctioned jurisdictions;
- Analysis of product risk, particularly in relation to recycled gold and traceability limitations;
- Identification of ESG risks, including human rights violations, environmental harm, illegal mining, and unethical sourcing;
- Assessment of transaction risk, including unusual patterns, high-value transactions, and inconsistencies in economic rationale.

Risk identification is conducted at onboarding and on an ongoing basis, and is integrated into the Company's EWRA and CRA frameworks.

8.2.3 Step 3 – Risk Mitigation

Where risks are identified, the Company implements proportionate and effective mitigation measures based on the level of risk.

These measures include:

- Application of Enhanced Due Diligence (EDD) for high-risk suppliers, transactions, or geographic exposures;
- Collection of additional documentation and verification of source of gold and supply chain integrity;
- Engagement with suppliers to address identified risks and implement corrective actions;
- Increased monitoring and review of high-risk relationships;
- Requirement for senior management approval for high-risk transactions or counterparties.

Where risks cannot be adequately mitigated, or where there is evidence of serious violations, the Company adopts a zero-tolerance approach, which may include:

- Rejection of material or transactions;
- Suspension or termination of business relationships;
- Reporting to competent authorities where required.

8.2.4 Step 4 – Independent Audit

In accordance with regulatory requirements, the Company engages an independent third-party auditor to conduct an annual review of its responsible sourcing and due diligence framework.

These audits are conducted in line with the Ministry of Economy Review Protocol (Annex I) and are designed to assess:

- Effectiveness of due diligence processes;
- Adequacy of risk identification and mitigation measures;
- Compliance with regulatory and international standards.

The Company is committed to addressing audit findings through corrective action plans and continuous improvement of its control environment.

8.2.5 Step 5 – Reporting

The Company ensures transparency and accountability through regular reporting of its responsible sourcing and ESG activities.

This includes:

- Preparation of annual Responsible Sourcing and ESG reports, detailing due diligence processes, risk assessments, mitigation measures, and audit outcomes;
- Submission of required reports and documentation to the Ministry of Economy, in accordance with regulatory requirements;
- Maintenance of internal reporting mechanisms to keep Senior Management informed of ESG and supply chain risks.

9. SUPPLY CHAIN DUE DILIGENCE

Promise Gold Refinery FZE (the "Company") implements a comprehensive and risk-based Supply Chain Due Diligence framework to ensure that all gold and precious metals processed by the Company are sourced in a manner that is legal, ethical, traceable, and compliant **with** applicable UAE regulations and international standards. This framework is aligned with the OECD Due Diligence Guidance and the Ministry of Economy Responsible Sourcing of Gold Regulations**,** and is fully integrated into the Company's AML/CFT, ESG, and Risk-Based Approach (RBA) frameworks. It applies across all stages of the supply chain, from supplier onboarding to transaction execution and ongoing monitoring.

9.1 Supplier Onboarding and Verification

The Company conducts comprehensive due diligence on all suppliers prior to establishing a business relationship. This process includes:

- Verification of the supplier's legal existence, including trade license and registration details;
- Assessment of the supplier's business activities to ensure alignment with legitimate gold trading or related operations;
- Collection and verification of corporate documents, including incorporation documents, ownership structure, and authorized signatories;
- Screening against applicable sanctions lists, PEP databases, and adverse media sources;
- Evaluation of the supplier's compliance with ESG and responsible sourcing requirements.

Supplier onboarding is subject to approval by the Compliance Function, and no business relationship shall be established until all required due diligence checks have been completed and validated.

9.2 UBO Identification and Verification

The Company ensures full identification and verification of the Ultimate Beneficial Owner (UBO) for all suppliers and counterparties, in accordance with UAE regulatory requirements.

This includes:

- Identification of natural persons who ultimately own or control the supplier, whether directly or indirectly;
- Verification of UBO identity through reliable and independent documentation;
- Assessment of ownership structures to identify complex, opaque, or high-risk arrangements;
- Ongoing monitoring to ensure that UBO information remains accurate and up to date.

Where UBO transparency cannot be established, or where there are concerns regarding ownership structures, the Company shall apply Enhanced Due Diligence (EDD) or decline the relationship.

9.3 Source of Gold (SOG) and Traceability

The Company requires all suppliers to provide clear and verifiable information regarding the source of gold (SoG) supplied.

This includes:

- Documentation confirming the origin and legitimacy of the gold;
- Declarations confirming that the gold is conflict-free, legally sourced, and not associated with prohibited activities;
- Assessment of whether the gold originates from recycled sources, local markets, or other supply chains;
- Verification of consistency between declared source and transaction characteristics.

The Company recognizes that traceability may be more complex in the case of recycled gold and therefore applies enhanced scrutiny where traceability limitations are identified. Any inconsistencies or gaps in source information are subject to escalation and further review.

9.4 Chain of Custody Controls

The Company maintains a robust **chain-of-custody framework** to ensure that all gold handled is fully traceable and auditable at all times.

This includes:

- Documentation of the movement, handling, and ownership of gold from supplier to final processing;
- Verification of transport and logistics arrangements to ensure secure and compliant handling;
- Maintenance of records supporting each stage of the supply chain;
- Cross-verification of documentation to detect inconsistencies or anomalies.

The Company ensures that chain-of-custody controls are continuously monitored and that any breaks or weaknesses in traceability are promptly identified and addressed.

9.5 Supplier Risk Assessment and Classification

All suppliers are subject to a structured risk assessment process, which evaluates their risk profile based on multiple factors, including:

- Geographic exposure and potential links to high-risk jurisdictions or CAHRAs;
- Ownership structure and UBO transparency;
- Nature of business activities and transaction behavior;
- ESG risks, including human rights and environmental considerations;
- Quality and completeness of documentation and traceability.

Based on this assessment, suppliers are classified into Low, Medium, High, or Prohibited risk categories.

- Low-risk suppliers are subject to standard due diligence and periodic review;
- Medium-risk suppliers are subject to enhanced monitoring;
- High-risk suppliers require Enhanced Due Diligence (EDD) and senior management approval;
- Prohibited suppliers are rejected or subject to termination.

This classification ensures that controls are applied proportionately in line with the Company's Risk-Based Approach.

9.6 Enhanced Due Diligence (EDD)

The Company applies Enhanced Due Diligence (EDD) measures to suppliers, transactions, or supply chains identified as high risk.

EDD measures include:

- Collection of additional documentation and verification of source of gold;
- Detailed assessment of ownership structure and UBO information;
- Enhanced screening for sanctions, PEP exposure, and adverse media;
- Increased scrutiny of transaction patterns and economic rationale;
- Requirement for senior management approval prior to onboarding or continuation of the relationship;
- Ongoing monitoring and periodic reassessment.

Where risks cannot be adequately mitigated through EDD, the Company adopts a zero-tolerance approach, which may include rejection of material, suspension of transactions, termination of the relationship, and reporting to competent authorities where required.

10. ESG RISK MANAGEMENT CONTROLS

Promise Gold Refinery FZE (the "Company") has established a comprehensive framework of ESG risk management controls to ensure the continuous identification, monitoring, and mitigation of risks associated with environmental, social, governance, and financial crime factors across its operations and supply chain. These controls are designed to operate in alignment with the Company's Risk-Based Approach (RBA) and are fully integrated into its AML/CFT, Responsible Sourcing, EWRA, and CRA frameworks, ensuring that ESG risks are managed in a structured, consistent, and ongoing manner.

10.1 Monitoring and Ongoing Review

The Company conducts continuous monitoring of its customers, suppliers, transactions, and supply chain activities to ensure that risk profiles remain accurate and up to date.
This includes:

- Periodic review of customer and supplier risk classifications based on updated information and transaction behavior;
- Ongoing verification of UBO information, business activities, and documentation;
- Continuous assessment of geographic exposure, including any emerging risks related to high-risk jurisdictions or CAHRAs;
- Monitoring of ESG-related risks, including environmental, human rights, and ethical sourcing considerations;
- Event-driven reviews triggered by significant changes, such as ownership changes, unusual transactions, or adverse media.

The Company ensures that monitoring activities are documented and that any changes in risk profile are promptly reflected in its risk assessment systems.

10.2 Transaction Monitoring

The Company maintains robust transaction monitoring controls to identify unusual, inconsistent, or high-risk transactions that may indicate financial crime or ESG-related risks.
Transaction monitoring includes:

- Analysis of transaction size, frequency, and patterns to detect anomalies or deviations from expected behavior;
- Review of payment methods, including monitoring of cash transactions and potential structuring;
- Assessment of the economic rationale of transactions to ensure consistency with the customer's profile and business activities;
- Cross-verification of source of gold (SOG), documentation, and supply chain information;
- Identification of potential indicators of trade-based money laundering (TBML), including pricing discrepancies, unusual trade flows, or inconsistencies in documentation.

Transactions that are identified as unusual or high risk are subject to further review by the Compliance Function and may trigger escalation procedures.

10.3 Red Flag Indicators

The Company maintains and regularly updates a comprehensive list of red flag indicators to assist in the identification of potential ESG and financial crime risks, the same has been detailed in our AML- CFT , Supply Chain and Risk Management Policy.

These indicators include, but are not limited to:

- Incomplete, inconsistent, or falsified documentation.
- Unusual transaction patterns or volumes inconsistent with the customer's profile;
- Requests for transactions involving third parties without clear justification.
- Significant use of cash or attempts to structure transactions below reporting thresholds;
- Links to high-risk jurisdictions, CAHRAs, or sanctioned entities;
- Adverse media or negative information relating to suppliers or counterparties.
- Weak or broken chain-of-custody documentation;
- Indicators of human rights violations, environmental harm, or illegal mining practices.

Red flag indicators are used as part of the Company's risk assessment and transaction monitoring processes and trigger enhanced scrutiny and escalation where necessary.

10.4 Escalation and Decision Framework

The Company has established a structured escalation and decision-making framework to ensure that identified risks are appropriately addressed in a timely and consistent manner.

Where ESG or financial crime risks are identified:

- Matters are escalated from operational teams to the Compliance Function for review and assessment;
- High-risk cases are further escalated to Senior Management for decision-making and approval;
- The Company applies a risk-based decision framework, taking into account the nature and severity of the risk, the effectiveness of mitigation measures, and regulatory requirements.

Possible actions include:

- Approval with enhanced monitoring;
- Application of Enhanced Due Diligence (EDD);
- Delay or suspension of transactions;
- Rejection of material or transactions;
- Termination of the business relationship;
- Reporting to competent authorities, including the UAE Financial Intelligence Unit (FIU), where required.

The Company retains the sole and absolute discretion to take appropriate action where compliance, ESG, or financial crime risks are identified, and its decision shall be final and binding.
All escalation decisions and actions are documented to ensure auditability and regulatory transparency.

11. PROHIBITED ACTIVITIES

Promise Gold Refinery FZE (the "Company") adopts a strict zero-tolerance policy toward any activities, transactions, or business relationships that are associated with financial crime, unethical sourcing, environmental harm, or violations of applicable laws and international standards. The Company shall not engage in, support, facilitate, or knowingly benefit from any activities that fall within the categories outlined below. Any such activities identified within the Company's operations or supply chain shall result in immediate action, including rejection of material, suspension of transactions, termination of relationships, and reporting to competent authorities**,** where required.

11.1 Conflict Gold

The Company strictly prohibits the sourcing, processing, or trading of gold that is directly or indirectly linked to:

- Armed conflict or conflict financing;
- Non-state armed groups or unlawful military actors;
- Any activities that contribute to violence, instability, or insecurity in Conflict-Affected and High-Risk Areas (CAHRAs).

The Company shall not engage with suppliers or counterparties where there is evidence or reasonable suspicion that gold has been sourced from conflict zones or has contributed to conflict financing.
Where any such risk is identified, the Company shall:

- Immediately suspend or reject the transaction;
- Terminate the relationship with the relevant supplier or counterparty;
- Escalate the matter to Senior Management and the Compliance Function;
- Report to competent authorities, where required.

11.2 Illegal Mining

The Company strictly prohibits engagement with gold that is sourced from illegal mining activities, including but not limited to:

- Mining conducted without valid licenses or regulatory approval;
- Mining activities that violate environmental laws or regulations;
- Unauthorized extraction of gold from protected or restricted areas;
- Smuggling or illicit trade of gold across borders.

The Company requires all suppliers to demonstrate that gold is sourced from legal, licensed, and compliant operations. Where there is any indication of illegal mining or illicit sourcing, the Company shall take immediate action to reject the material and terminate the relationship.

11.3 Human Rights Violations

The Company adopts a strict zero-tolerance approach toward any form of human rights violations within its operations or supply chain.
This includes, but is not limited to:

- Child labour;
- Forced or compulsory labour, including debt bondage;
- Human trafficking and exploitation;
- Unsafe or abusive working conditions;
- Any practices that violate internationally recognized human rights standards.

The Company shall not engage with any supplier or counterparty associated with such practices. Where such risks are identified, the Company shall:

- Immediately suspend or terminate the relationship;
- Reject any associated material or transactions;
- Escalate the matter internally and, where required, report to competent authorities.

11.4 Sanctioned Entities and Jurisdictions

The Company strictly prohibits any engagement, directly or indirectly, with:

- Individuals, entities, or organizations listed on applicable sanctions lists, including the United Nations sanctions lists and the UAE Local Terrorist List;
- Jurisdictions subject to international sanctions or restrictions;
- Parties involved in terrorism, proliferation financing, or other prohibited activities.

The Company conducts continuous sanctions screening of all customers, suppliers, and counterparties. Where a confirmed match is identified, the Company shall:

- Immediately freeze any relevant transactions or assets, where required;
- Terminate the business relationship;
- Report the matter to competent authorities, including the UAE Financial Intelligence Unit (FIU), in accordance with applicable laws.

11.5. ENFORCEMENT AND COMPLIANCE

The Company maintains strict enforcement of this Prohibited Activities framework. Any breach or suspected breach shall be treated as a material compliance violation and shall trigger immediate escalation and action.

The Company reserves the right to:

- Refuse or reject any transaction or material;
- Suspend or terminate any business relationship;
- Require additional due diligence or verification;
- Report to regulatory or law enforcement authorities, where required.

All decisions relating to prohibited activities shall be made in accordance with the Company's Risk-Based Approach and escalation framework, and the Company's determination shall be final.

12. AUDIT & ASSURANCE

Promise Gold Refinery FZE (the "Company") maintains a robust Audit and Assurance framework to ensure the effectiveness, adequacy, and ongoing compliance of its Environmental, Social, and Governance (ESG), Responsible Sourcing, and AML/CFT control systems. This framework is designed to provide independent verification that the Company's due diligence processes, risk management controls, and supply chain practices are operating effectively and in alignment with applicable regulatory requirements and international standards.

12.1 Internal Controls and Testing

The Company has established comprehensive internal control mechanisms to ensure that ESG, AML/CFT, and responsible sourcing requirements are effectively implemented and consistently applied across all operations. These controls are subject to periodic internal testing and review, which includes:

- Assessment of the effectiveness of due diligence processes, including Customer Due Diligence (CDD) and Enhanced Due Diligence (EDD);
- Testing of transaction monitoring systems to ensure timely identification of unusual or suspicious activities;
- Review of supplier onboarding procedures, including UBO verification, sanctions screening, and ESG risk assessment;
- Evaluation of chain-of-custody controls and documentation to ensure traceability and auditability;
- Verification of compliance with internal policies, procedures, and regulatory requirements.

Internal testing is conducted by the Compliance Function and/or designated internal audit personnel, and findings are documented, reported to Senior Management, and used to strengthen the Company's control environment.

12.2 Independent Third-Party Audit

In accordance with regulatory requirements, the Company engages an independent and qualified third-party auditor to conduct an annual review of its Responsible Sourcing and ESG framework.
This audit is conducted to:

- Assess the adequacy and effectiveness of the Company's supply chain due diligence framework;
- Evaluate compliance with Ministry of Economy Responsible Sourcing Regulations and international standards, including the OECD Due Diligence Guidance;
- Verify the implementation of ESG policies, procedures, and controls across the Company's operations.

The independent audit provides an objective and external assessment of the Company's compliance framework and identifies any gaps, weaknesses, or areas for improvement.

12.3 MoE Review Protocol Compliance

The Company ensures full compliance with the Ministry of Economy Review Protocol (Annex I), which sets out the principles, scope, and methodology for independent third-party audits of responsible sourcing frameworks.
In this regard, the Company:

- Ensures that the scope of the audit covers all key components of its supply chain due diligence framework, including policies, procedures, risk assessment, mitigation measures, and chain-of-custody controls;
- Provides the appointed auditor with full access to relevant records, documentation, and personnel;
- Ensures that audits are conducted by MoE-approved or qualified auditors, as required;
- Maintains proper documentation and evidence to support audit findings and conclusions.

Compliance with the Review Protocol is treated as a mandatory requirement and forms a critical component of the Company's regulatory obligations.

12.4 Corrective Action and Remediation

The Company is committed to promptly addressing any findings, deficiencies, or recommendations identified through internal testing or independent audits.
This includes:

- Development and implementation of Corrective Action Plans (CAPs) to address identified gaps or weaknesses;
- Assignment of responsibilities and timelines for remediation actions;
- Monitoring of corrective actions to ensure timely and effective resolution;
- Escalation of significant issues to Senior Management for oversight and decision-making.

Where serious deficiencies or compliance breaches are identified, the Company shall take immediate action, which may include:

- Suspension of affected operations or transactions;
- Review and enhancement of internal controls and procedures;
- Termination of relationships with non-compliant suppliers or counterparties;
- Reporting to competent authorities, where required.

The Company adopts a continuous improvement approach, ensuring that lessons learned from audits and reviews are incorporated into its ESG and compliance frameworks to strengthen overall effectiveness.

13. REPORTING & DISCLOSURE

Promise Gold Refinery FZE (the "Company") maintains a comprehensive reporting and disclosure framework to ensure transparency, accountability, and compliance with regulatory requirements in relation to Environmental, Social, and Governance (ESG), Responsible Sourcing, and Anti-Money Laundering (AML/CFT) obligations. This framework is designed to facilitate effective communication of risk, performance, and compliance matters to Senior Management, regulators, and relevant stakeholders, and is aligned with applicable UAE laws and international standards.

13.1 Internal Reporting to Management

The Company has established structured internal reporting mechanisms to ensure that ESG, compliance, and financial crime risks are effectively communicated to Senior Management on a timely basis.
This includes:

- Periodic reporting on ESG risk assessments, including findings from the Enterprise-Wide Risk Assessment (EWRA) and Customer Risk Assessment (CRA);
- Reporting on supplier risk profiles, including high-risk suppliers, Enhanced Due Diligence (EDD) cases, and supply chain vulnerabilities;
- Updates on transaction monitoring activities, including unusual or suspicious transactions identified;
- Reporting on compliance incidents, breaches, or red flag indicators;
- Findings from internal reviews, audits, and control testing;
- Status updates on corrective actions and remediation efforts.

Reports are submitted to Senior Management at defined intervals and on an ad hoc basis where significant risks or incidents are identified. Senior Management is responsible for reviewing these reports and ensuring that appropriate actions are taken.

13.2 Regulatory Reporting Obligations

The Company complies with all applicable regulatory reporting requirements under UAE law, including obligations relating to AML/CFT, Responsible Sourcing, and ESG.
This includes:

- Submission of Suspicious Transaction Reports (STRs) and Suspicious Activity Reports (SARs) to the UAE Financial Intelligence Unit (FIU) through the goAML system, where there are reasonable grounds to suspect financial crime;
- Submission of Dealers in Precious Metals and Stones Reports (DPMSR) and other regulatory filings, where applicable;
- Compliance with Targeted Financial Sanctions (TFS) reporting requirements, including reporting of matches to the UAE Local Terrorist List;
- Submission of information, documents, and reports requested by the Ministry of Economy (MoE) or other competent authorities;
- Compliance with reporting obligations related to high-risk jurisdictions, sanctions exposure, or other regulatory triggers.

The Company ensures that all regulatory reports are submitted in a timely, accurate, and complete manner, in accordance with applicable legal requirements. The Company further ensures that reporting is conducted without tipping off the relevant parties, as required under AML/CFT laws.

13.3 Annual ESG / Responsible Sourcing Report

In line with regulatory requirements and international best practices, the Company prepares an annual ESG and Responsible Sourcing Report.
This report provides a comprehensive overview of:

- The Company's Responsible Sourcing framework and due diligence processes;
- Risk assessment methodologies and key findings;
- Identified risks, including ESG and financial crime risks, and corresponding mitigation measures;
- Outcomes of independent third-party audits conducted in accordance with the Ministry of Economy Review Protocol;
- Performance against ESG objectives and continuous improvement initiatives;
- Any significant incidents, breaches, or corrective actions undertaken during the reporting period.

The report is submitted to the Ministry of Economy, as required, and may also be shared with relevant stakeholders to demonstrate transparency and accountability.
The Company ensures that all disclosures are accurate, complete, and supported by appropriate documentation, and that reporting practices are aligned with both regulatory expectations and international standards.

14. TRAINING & AWARENESS

Promise Gold Refinery FZE (the "Company") recognizes that effective implementation of its Environmental, Social, and Governance (ESG), Responsible Sourcing, and Anti-Money Laundering (AML/CFT) frameworks is dependent on the awareness, competence, and accountability of its employees and stakeholders. Accordingly, the Company has established a structured Training and Awareness Program designed to ensure that all relevant personnel understand their roles and responsibilities in relation to ESG, compliance, and financial crime risk management, and are equipped to identify and respond to potential risks effectively.

14.1 ESG Training Programs

The Company provides regular and structured training on ESG principles and responsible sourcing requirements to all relevant employees.
This includes:

- Training on the Company's ESG Policy, Responsible Sourcing Policy, and Code of Conduct;
- Awareness of environmental, social, and governance risks, including human rights, environmental impact, and ethical sourcing practices;
- Understanding of Conflict-Affected and High-Risk Areas (CAHRA) and associated risks;
- Identification of ESG-related red flags, including indicators of illegal mining, human rights violations, and supply chain risks;
- Responsibilities of employees in ensuring compliance with ESG standards and reporting concerns.

Training programs are conducted at onboarding and on a periodic basis to ensure that knowledge remains current and aligned with evolving regulatory requirements and industry practices.

14.2 AML/CFT Integration

The Company ensures that ESG training is fully integrated with its AML/CFT training programs, recognizing the strong interlinkage between financial crime risks and ESG risks within the gold and precious metals sector.
AML/CFT training includes:

- Overview of money laundering (ML), terrorist financing (TF), and proliferation financing (PF) risks;
- Application of the Risk-Based Approach (RBA) in identifying and managing risks;
- Procedures relating to Customer Due Diligence (CDD) and Enhanced Due Diligence (EDD);
- Sanctions and Politically Exposed Person (PEP) screening requirements;
- Identification and reporting of suspicious transactions through the goAML system;
- Awareness of trade-based money laundering (TBML) risks specific to the gold sector.

By integrating ESG and AML/CFT training, the Company ensures a holistic understanding of risks and promotes a unified approach to compliance and risk management.

14.3 Role-Based Training

The Company adopts a role-based training approach, ensuring that training programs are tailored to the specific responsibilities and risk exposure of different functions within the organization.
This includes:

- Senior Management and Board-level training, focusing on governance, risk appetite, regulatory expectations, and oversight responsibilities;
- Compliance Function training, covering advanced topics such as due diligence, risk assessment, sanctions screening, transaction monitoring, and regulatory reporting;
- Operational staff training, including supplier onboarding, documentation verification, chain-of-custody controls, and identification of red flag indicators;
- Support function training, ensuring awareness of ESG and compliance requirements relevant to their roles.

Training is documented, and attendance records are maintained to demonstrate compliance with regulatory expectations. The effectiveness of training programs is periodically reviewed to ensure continuous improvement.

15. RECORD KEEPING

Promise Gold Refinery FZE (the "Company") maintains comprehensive record-keeping systems to ensure that all information relating to Environmental, Social, and Governance (ESG), Responsible Sourcing, and Anti-Money Laundering (AML/CFT) activities is accurately documented, securely maintained, and readily accessible for regulatory review and audit purposes. The Company recognizes that effective record keeping is a critical component of its compliance framework, enabling traceability, transparency, and accountability across all aspects of its operations and supply chain.

15.1 Record Retention Requirements (Minimum 5 Years)

The Company retains all relevant records for a minimum period of five (5) years, or for such longer period as may be required under applicable UAE laws and regulatory requirements.
Records maintained include, but are not limited to:

- Customer and supplier due diligence documentation, including KYC/CDD/EDD records;
- Ultimate Beneficial Owner (UBO) identification and verification documents;
- Transaction records, including invoices, payment details, and supporting documentation;
- Source of Gold (SoG) documentation and supplier declarations;
- Chain-of-custody records demonstrating traceability of gold throughout the supply chain;
- Sanctions screening, PEP checks, and adverse media screening results;
- Transaction monitoring records and reports;
- Suspicious Transaction Reports (STRs), Suspicious Activity Reports (SARs), and related communications;
- Internal audit reports, independent third-party audit reports, and corrective action plans;
- ESG risk assessments, EWRA and CRA documentation, and compliance reports.

Records are retained in a manner that ensures they can be promptly retrieved and provided to competent authorities, including the Ministry of Economy and the UAE Financial Intelligence Unit (FIU), upon request.

15.2 Documentation Standards

The Company ensures that all records are maintained in accordance with defined documentation standards to ensure accuracy, completeness, and auditability.
This includes:

- Maintaining **clear, complete, and verifiable documentation** for all transactions, due diligence processes, and supply chain activities;
- Ensuring that all records are **consistent with the nature of the transaction and the profile of the counterparty**;
- Implementing controls to prevent **alteration, falsification, or loss of records**;
- Maintaining **version control and audit trails** for key documents;
- Ensuring that documentation supports a **fully traceable and auditable chain of custody** for all gold processed by the Company.

All documentation is subject to periodic review to ensure ongoing accuracy and compliance with regulatory requirements.

15.3 Data Protection and Confidentiality

The Company is committed to ensuring the confidentiality, integrity, and security of all records and information maintained as part of its ESG and AML/CFT frameworks.
This includes:

- Implementing appropriate data protection measures, including access controls, secure storage systems, and restricted access to sensitive information;
- Ensuring that records are accessible only to authorized personnel on a need-to-know basis;
- Protecting confidential information from unauthorized disclosure, misuse, or loss;
- Ensuring compliance with applicable UAE data protection laws and confidentiality requirements;
- Maintaining confidentiality in relation to regulatory reporting, including Suspicious Transaction Reports, in accordance with non-tipping-off obligations.

The Company ensures that all employees and relevant stakeholders are aware of their responsibilities in relation to data protection and confidentiality and are required to adhere to these standards at all times.

16. BREACH MANAGEMENT & ESCALATION

Promise Gold Refinery FZE (the "Company") has established a structured and robust Breach Management and Escalation Framework to ensure that any Environmental, Social, and Governance (ESG), Responsible Sourcing, or Anti-Money Laundering (AML/CFT) violations are promptly identified, assessed, escalated, and addressed in a consistent and effective manner.

The Company adopts a zero-tolerance approach toward material breaches, particularly those involving financial crime, human rights violations, conflict sourcing, environmental harm, or regulatory non-compliance

16.1 Identification of ESG Violations

The Company maintains mechanisms to identify potential ESG and compliance breaches across its operations and supply chain through:

- Ongoing transaction monitoring and risk assessment processes;
- Identification of red flag indicators, including inconsistencies in documentation, unusual transaction patterns, or supply chain anomalies;
- Supplier and customer due diligence reviews, including CDD and EDD processes;
- Findings from internal reviews, audits, and third-party assurance;
- Reports received through the Company's grievance mechanism and whistleblowing channels;
- Monitoring of adverse media, sanctions updates, and regulatory alerts.

ESG violations may include, but are not limited to:

- Involvement in conflict gold or illegal mining;
- Human rights violations, including child labour or forced labour;
- Environmental harm or non-compliance with environmental standards;
- Financial crime risks, including money laundering or suspicious transactions;
- Breaches of regulatory requirements or internal policies.

All identified concerns are documented and assessed by the Compliance Function to determine the severity and appropriate course of action.

16.2 Suspension and Termination

Where ESG or compliance breaches are identified, the Company applies a structured and risk-based decision framework to determine appropriate actions.

Depending on the nature and severity of the breach, actions may include:

- Enhanced monitoring and application of additional controls;
- Request for additional documentation or clarification from the counterparty;
- Temporary suspension of transactions or business activities pending further review;
- Rejection of specific transactions or material;
- Termination of the business relationship with the supplier, customer, or counterparty.

In cases involving serious or high-risk violations, including conflict sourcing, sanctions exposure, human rights abuses, or significant ESG breaches, the Company shall adopt immediate and decisive action, including suspension or termination without prior notice.

All decisions are subject to review and approval by the Compliance Function and, where required, Senior Management, in accordance with the Company's escalation framework.

16.3 Regulatory Reporting (STR / SAR where applicable)

The Company ensures full compliance with regulatory reporting obligations in relation to identified breaches and suspicious activities.

Where there are reasonable grounds to suspect that a transaction or activity is linked to financial crime, including money laundering, terrorist financing, or proliferation financing, the Company shall:

- Submit a Suspicious Transaction Report (STR) or Suspicious Activity Report (SAR) to the UAE Financial Intelligence Unit (FIU) through the goAML system;
- Ensure that reporting is conducted promptly, accurately, and in accordance with legal requirements;
- Maintain strict confidentiality and ensure compliance with non-tipping-off obligations.

In addition, the Company shall comply with any other regulatory reporting requirements, including reporting to the Ministry of Economy or other competent authorities, where required.

16.4 Enforcement and Final Authority

The Company retains the sole and absolute discretion to determine appropriate actions in response to ESG and compliance breaches. All decisions taken under this framework are binding and are made in accordance with the Company's Risk-Based Approach and regulatory obligations.

All breaches, actions taken, and reporting decisions are documented to ensure full auditability and transparency.

. ESCALATION LEVEL FRAMEWORK

Level	Risk Type	Examples	Action Owner	Action Required
Level 1 Low Risk	Minor Issues	Documentation gaps, minor inconsistencies	Operations	Rectify + monitor
Level 2 Medium Risk	Moderate Risk	Incomplete SoG, minor red flags	Compliance	Review + enhanced monitoring
Level 3 High Risk	Significant Risk	PEP exposure, unusual transactions, weak traceability	Compliance + Senior Management	EDD + approval
Level 4 – Critical / Prohibited	Severe Risk	Sanctions match, conflict gold, ML suspicion	Compliance + MLRO + Senior Management	Reject + report

17. ZERO TOLERANCE STATEMENT

Promise Gold Refinery FZE (the "Company") adopts a strict and unequivocal zero-tolerance approach toward any form of financial crime, unethical conduct, or non-compliance with applicable laws, regulatory requirements, and internationally recognized standards.

The Company shall not engage in, facilitate, or knowingly benefit from any activities that are associated with:

- Money laundering (ML), terrorist financing (TF), or proliferation financing (PF);
- Sanctioned individuals, entities, or jurisdictions, including those listed under the United Nations sanctions regime or the UAE Local Terrorist List;
- Conflict gold, including gold linked to armed groups, conflict financing, or activities in Conflict-Affected and High-Risk Areas (CAHRA);
- Illegal mining activities, including unlicensed extraction, environmental violations, or smuggling;
- Human rights violations, including child labour, forced labour, human trafficking, and exploitation;
- Environmental harm, including practices that result in significant ecological damage or non-compliance with environmental regulations;
- Bribery, corruption, or any form of unethical business conduct.

The Company strictly prohibits the establishment or continuation of any business relationship where such risks are identified or reasonably suspected. In such cases, the Company shall take immediate and decisive action, including:

- Rejection of material or transactions;
- Suspension or termination of business relationships;
- Escalation to the Compliance Function and Senior Management;
- Reporting to competent authorities, including the UAE Financial Intelligence Unit (FIU), where required.

The Company ensures that all employees, suppliers, counterparties, and stakeholders are aware of and adhere to this zero-tolerance policy. Compliance with these standards is a mandatory condition of engagement, and any breach shall be treated as a material violation subject to disciplinary action, termination of relationships, and regulatory reporting. The Company retains the sole and absolute discretion to determine whether a transaction, relationship, or activity meets its compliance and ESG standards, and its decision shall be final and binding. This Zero Tolerance Statement reinforces the Company's commitment to maintaining the highest standards of integrity, transparency, and accountability, and to safeguarding the integrity of its operations and the broader gold supply chain.

18. POLICY REVIEW & UPDATES

Promise Gold Refinery FZE (the "Company") ensures that its Environmental, Social, and Governance (ESG) Policy remains current, effective, and aligned with applicable regulatory requirements and international standards through a structured and ongoing review and update process. The Company recognizes that the regulatory landscape, risk environment, and industry practices within the gold and precious metals sector are continuously evolving. Accordingly, this Policy is subject to periodic review and timely updates to ensure its continued relevance, adequacy, and effectiveness.

18.1 Annual Review

The Company shall conduct a comprehensive annual review of this ESG Policy to assess its alignment with:

- Applicable UAE laws and regulations, including AML/CFT/CPF requirements;
- Ministry of Economy Responsible Sourcing of Gold Regulations (Ministerial Decree No. 68 of 2024);
- OECD Due Diligence Guidance and other relevant international standards;
- The Company's Enterprise-Wide Risk Assessment (EWRA), Customer Risk Assessment (CRA), and evolving risk profile;
- Findings from internal reviews, compliance testing, and independent third-party audits.

The annual review shall be conducted by the Compliance Function, in coordination with relevant business units, and shall include an evaluation of:

- The effectiveness of ESG controls and due diligence processes;
- Emerging risks, including ESG, financial crime, and supply chain vulnerabilities;
- Gaps, deficiencies, or areas requiring enhancement.

Any proposed updates or revisions to the Policy shall be submitted to Senior Management and the Board of Directors (where applicable) for review and approval prior to implementation.

18.2 Event-Driven Updates

In addition to the annual review, the Company shall update this Policy on an event-driven basis where material changes occur that may impact its applicability or effectiveness.
Such events include, but are not limited to:

- Changes in applicable laws, regulations, or regulatory guidance issued by the Ministry of Economy or other competent authorities;
- Updates to international standards, including OECD, FATF, or other relevant frameworks;
- Identification of new or emerging risks, including ESG risks, financial crime risks, or supply chain vulnerabilities;
- Significant changes in the Company's business model, operations, or supply chain structure;
- Findings from internal audits, independent third-party audits, or regulatory inspections;
- Occurrence of material compliance breaches, incidents, or enforcement actions.

Where such events occur, the Company shall promptly assess the impact and implement necessary updates to ensure that the Policy remains effective and compliant.

19. POLICY APPROVAL & SIGN-OFF

This Environmental, Social, and Governance (ESG) Policy of Promise Gold Refinery FZE has been reviewed and approved by the Company's Senior Management and Board of Directors (where applicable).

The undersigned confirm that:

- The Policy is aligned with applicable UAE laws and regulations, including Anti-Money Laundering, Counter-Terrorist Financing, and Proliferation Financing (AML/CFT/CPF) requirements;
- The Policy complies with the Ministry of Economy Responsible Sourcing of Gold Regulations (Ministerial Decree No. 68 of 2024);
- The Policy is consistent with international standards, including the OECD Due Diligence Guidance and FATF Recommendations;
- Adequate systems, controls, and resources are in place to ensure effective implementation of this Policy;
- The Company is committed to maintaining the highest standards of integrity, transparency, and responsible sourcing.

This Policy shall be effective from the date of approval and shall remain in force until amended or replaced in accordance with the Company's Policy Review and Update procedures.

DOCUMENT CONTROL

Version	Date	Description of Changes	Approved By	Signature
1.0	**21/11/2025**	**Initial Policy**		

Document Title	Designation	AML / CFT / PF Policy	Signature
Prepared By	Compliance Officer	James Mohan Chandran	
Reviewed By	General Manager	Arun Radhakrishnan Nair	
Approved By	CEO	Muhammed Sabith Keezhutta	

ANNEXURE A

SUPPLIER ESG DECLARATION

Supplier Name: _____

Trade License No.: _____

Country of Registration: _____

DECLARATION

We, the undersigned, hereby confirm and declare that:

- All gold supplied is legally sourced, free from any illicit origin, and compliant with applicable laws and regulations;
- The gold is not associated with conflict financing, armed groups, or activities in Conflict-Affected and High-Risk Areas (CAHRA);
- Our operations comply with environmental regulations, and we do not engage in environmentally harmful or illegal mining practices;
- We uphold human rights standards, including prohibition of child labour, forced labour, and exploitation;
- We are not listed on any sanctions list, including the UAE Local Terrorist List or United Nations sanctions lists;
- We agree to comply with the ESG and Responsible Sourcing requirements of Promise Gold Refinery FZE;
- We will provide all required documentation and cooperate with due diligence, audits, and monitoring processes.

UNDERTAKING

We acknowledge that any false declaration or non-compliance may result in:

- Immediate termination of business relationship;
- Reporting to competent authorities;

Authorized Signatory: _____

Name: _____

Signature: _____

Date: _____

ANNEXURE B – CAHRA DECLARATION

Supplier Name: _____

Trade License No.: _____

Country of Registration: _____

DECLARATION

We hereby declare that:

- The gold supplied to Promise Gold Refinery FZE does not originate from, transit through, or involve Conflict-Affected and High-Risk Areas (CAHRA);
- The supply chain is free from involvement with armed groups, conflict financing, or human rights abuses;
- Where any indirect exposure exists, it has been fully disclosed and documented;
- We commit to immediately notify the Company of any changes in sourcing or risk exposure.

Authorized Signatory: _____

Signature: _____

Date: _____